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County: los-angeles

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Case Number: 22STLC01380 Hearing Date: August 25, 2026 Dept: 26

TENTATIVE RULING:

Plaintiff Fred Loya Insurance Company's Motion to Set Aside Dismissal and Enter Judgment is granted. The Court Orders that the Dismissal entered 11/16/2023 is Set Aside. The Court will enter Judgment in favor of Plaintiff Loya Insurance Company and against Defendant Javier Daniel Chavez in the sum of $691.07.

Analysis:

On March 2, 2022, Plaintiff Fred Loya Insurance Company ("Plaintiff") filed this subrogation action against Defendant Javier Daniel Chavez ("Defendant"). Defendant answered on April 29, 2022. On November 16, 2023, Plaintiff filed a Stipulation and Order for Dismissal. The Court entered the stipulation and dismissed the action on the same date. (Stip and Order, filed 11/16/23.)

On May 13, 2026, Plaintiff filed the instant Motion to Set Aside Dismissal and Enter Judgment. At the initial hearing on June 30, 2026, the Court found service of the Motion to be improper and continued the hearing to allow for proper service of the papers. (Minute Order, 06/30/26.) Plaintiff filed a Notice of Hearing with proof of service of the Motion on Defendant on the same day. Defendant filed an opposition on August 12, 2026.

Discussion

The instant Motion is brought under Code of Civil Procedure, section 664.6, which states in relevant part:

If parties to pending litigation stipulate, in a writing signed by the parties outside the presence of the court or orally before the court, for settlement of the case, or part thereof, the court, upon motion, may enter judgment pursuant to the terms of the settlement. If requested by the parties, the court may retain jurisdiction over the parties to enforce the settlement until performance in full of the terms of the settlement.

(Code Civ. Proc., § 664.6, subd. (a).) Prior to January 1, 2021, “parties” under section 664.6 meant the litigants themselves, not their attorneys. (Levy v. Superior Court (1995) 10 Cal.4th 578, 586.) The current statute provides that “parties” includes “an attorney who represents the party” and an insurer’s agent. (Code Civ. Proc., § 664.6, subd. (b).) The settlement must include the signatures of the parties seeking to enforce the agreement, and against whom enforcement is sought. (J.B.B. Investment Partners, Ltd. v. Fair (2014) 232 Cal.App.4th 974, 985.) The settlement agreement complies with the statutory requirements set forth above because it was signed by both parties. (Motion, Gaba Jr. Decl., Exh. 1, p. 4.)

Furthermore, the request for retention of jurisdiction must be made in writing, by the parties, before the action is dismissed for the Court’s retention of jurisdiction to conform to the statutory language. (Wackeen v. Malis (2002) 97 Cal.App.4th 429, 433 [“If, after a suit has been dismissed, a party brings a section 664.6 motion for a judgment on a settlement agreement but cannot present to the court a request for retention of jurisdiction that meets all of these requirements, then enforcement of the agreement must be left to a separate lawsuit.”].) The parties’ request for retention of jurisdiction complies with these requirements because it was made in writing to the Court before the action was dismissed. (Motion, Gaba Jr. Decl., Exh. 1, ¶18.)

The settlement provided that Defendant would pay Plaintiff $4,746.32 starting on August 20, 2024. (Id. at Exh. 1, ¶1.) The settlement agreement also provided that in the event of Defendant’s default, Plaintiff could seek judgment in the demand of the Complaint ($10,666.91), less monies paid, plus ten percent interest per annum, attorney’s fees, and costs. (Id. at Exh. 1, ¶10.) Defendant paid a total of $4,546.93 towards the settlement, after which Defendant defaulted. (Id.

at ¶¶5-7.) Plaintiff now seeks entry of judgment in the amount of $10,666.91 principal, $2,575.44 interest, $466.50 costs, less payments made of $4,546.93, for a total sum of $9,161.92. (Id. at ¶9.)

In opposition, Defendant argues that because the amount Plaintiff seeks to enter as judgment has no bearing on the damages it incurred from Defendant's breach, the settlement demand operates as an unenforceable penalty. In support of this position, Defendant points to Greentree Financial Group, Inc. v. Execute Sports, Inc. (2008) 163 Cal.App.4th 495, a case with analogous facts. In Greentree Financial, the parties settled the plaintiff's breach of contract claim, alleged in the complaint to be $45,000, for the amount of $20,000.00. (Greentree Financial Group, Inc. v. Execute Sports, Inc. (2008) 163 Cal.App.4th 495, 498.) They also agreed that if the defendant defaulted, judgment would be entered "for all amounts prayed as set forth in [Greentree]'s Complaint . . . ." (Ibid.) The defendant then opposed entry of judgment in the amount of $45,000 in damages, $13,912.50 in prejudgment interest, $2,000 in attorney fees, and $320 in costs, as an illegal penalty and the Court of Appeals agreed. (Id. at 499-500.) It held that "the $61,232.50 amount in the judgment bears no reasonable relationship to the range of actual damages the parties could have anticipated from a breach of the stipulation to settle the dispute for $20,000." (Id. at 500.)

In determining whether the terms of the stipulation amount to an illegal penalty, we start with the language of Civil Code section 1671, subdivision (b): "[A] provision in a contract liquidating the damages for the breach of the contract is valid unless the party seeking to invalidate the provision establishes that the provision was unreasonable under the circumstances existing at the time the contract was made." In interpreting this statute, our Supreme Court has noted: "A liquidated damages clause will generally be considered unreasonable, and hence unenforceable under section 1671(b), if it bears no reasonable relationship to the range of actual damages that the parties could have anticipated would flow from a breach. The amount set as liquidated damages 'must represent the result of a reasonable endeavor by the parties to estimate a fair average compensation for any loss that may be sustained.' [Citation.] In the absence of such relationship, a contractual clause purporting to predetermine damages 'must be construed as a penalty.' " (Ridgley v. Topa Thrift & Loan Assn. (1998) 17 Cal.4th 970, 977, 73 Cal.Rptr.2d 378, 953 P.2d 484 (Ridgley).)

(Id. at 499.) The facts of Greentree Financial Group are analogous to the facts of the instant case. Plaintiff asks for entry of judgment in the total amount of $9,161.92, comprising a principal amount of $10,666.91, plus ten percent interest per annum and costs, less monies paid. (Compl., p. 1.) However, the Motion does not explain how those damages flow from Defendant's breach of the settlement agreement for $4,746.32. As the Court stated in Greentree, the relevant breach is the breach of the settlement agreement, not the original underlying contract. (Id. at 499 ("[T]he breach we are analyzing is the breach of the stipulation, not the breach of the underlying contract.") Here, as there, the Court has no reason to infer that the parties for some reason calculated that the $10,666.91 figure represents an attempt to anticipate the damages likely to flow from the breach of the settlement agreement. (Id.) Indeed, Plaintiff has not filed a reply to the Opposition addressing any of these arguments. Accordingly, the Court finds sum sought is an unenforceable penalty and declines to enforce the settlement in the amount sought by Plaintiff. Here, at most, Plaintiff is entitled to a judgment in the sum of the settlement amount, less payments received, which yields $199.39, plus interest on the amount in default from the date of breach, that is, 5/20/2025, and costs of $466.50. (See Mot., p. 6; Gaba Decl., ¶10.) By the Court's calculation, this yields a judgment of $691.07, comprising $199.39 (principal)+$25.18 (interest)+466.50(costs).

The Court will grant the Motion to Set Aside Dismissal and enter judgment in the sum of $691.07. The Court will enter the Proposed Order and Judgment submitted by Plaintiff modified to be consistent with this ruling.

Conclusion

Plaintiff Fred Loya Insurance Company's Motion to Set Aside Dismissal and Enter Judgment is granted. The Court Orders that the Dismissal entered 11/16/2023 is Set Aside. The Court will enter Judgment in favor of Plaintiff Loya Insurance Company and against Defendant Javier Daniel Chavez in the sum of $691.07.

Moving party to give notice.